

Customer Segmentation Analysis — Insights

1. Customer Segment Definitions

Segment	Definition
High-Value Customers	Customers with high monetary value , indicating higher overall spending.
Recent Customers	Customers with lower recency , indicating relatively more recent purchases.
Lost Customers	Customers with high recency and low monetary value , indicating customers who have not purchased recently and have lower historical spending.

2. Overall View

KPI	Value
Average Customer Value	2.53K
Total Revenue	251.51M
Total Customers	99,457
High-Value Customers	11,273
Lost Customers	44,055
Recent Customers	44,129

Overall Insights:

- The analysis covers **99,457 customers** generating **251.51M total revenue**.
- **Recent Customers (44,129)** and **Lost Customers (44,055)** are almost equal in size, while only **11,273 customers** belong to the High-Value segment.
- Despite being the smallest segment, High-Value customers have a much higher **average monetary value (~12K)** compared with Lost and Recent customers (~1.4K and ~1.3K respectively).

3. Chart-wise Insights + Suggestions

2.1 Customer Distribution by Segment

Insight: Around **88% of customers** fall into either Recent or Lost segments, while the High-Value segment is considerably smaller.

Suggestion:

- Instead of treating all customers equally, use **different strategies for each segment** like:
 - High-Value → retention
 - Recent → conversion into high-value
 - Lost → reactivation
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2.2 Average Recency by Segment

Insights:

- **High-Value customers have an average recency of 392.93 days but still have very high monetary value.**
- This means the High-Value segment is not simply defined by recent activity — **their spending value is what differentiates them.**

Suggestion:

- Give High-Value customers personalized offers and loyalty benefits because they have significantly higher spending value than other segments.
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2.3 Average Monetary by Segment

Insight: High-Value customers have roughly **8–9× higher average monetary value** than the other segments.

Suggestion: Give High-Value customers **personalized offers, loyalty benefits and premium product recommendations**

2.4 Revenue by Category and Segment

Insights:

- **Clothing is the highest-revenue category**, contributing roughly **114M**.
- **Shoes** and **Technology** are the next major revenue-generating categories, at approximately **66M** and **58M** respectively.

- The segment contribution is different across categories, meaning category performance should be analysed together with customer segment rather than only by total revenue.

Suggestions:

- Since **Clothing generates the highest revenue**, maintain strong inventory availability and promotional focus for Clothing.
- Further analyse **which segment contributes most to Clothing, Shoes and Technology revenue** so promotions can be targeted instead of using the same strategy for all customers.

2.5 Revenue by Shopping Mall and Segment

Insights:

- **Kanyon and Mall of Istanbul** are the strongest revenue-generating malls, each contributing around **51M**.
- The segment composition differs between malls.

Suggestions:

- Analyse the **High-Value customer contribution at Kanyon and Mall of Istanbul** separately.
- These malls can be examined for successful category/segment combinations and similar strategies can be considered for lower-revenue malls.

2.6. Customers by Payment Method and Segment

Insight: **Cash** is the most commonly used payment method in each segment.

Suggestion: Consider increasing **cash-payment counters during peak hours** due to its higher usage.

2.7. Monthly Revenue Trend

Insight: Revenue starts highest in **January (~29M)**, declines until around **April–May (~19M)**, and then fluctuates, with noticeable increases in **July, October and December**.

Suggestion: Analyse the factors behind the **early-year decline and later revenue peaks** to plan promotions and inventory more effectively.

4. Final Business Suggestions

1. Retain High-Value Customers

High-Value customers have an average monetary value of around **12K**, much higher than the other segments. Use loyalty benefits and personalized offers to retain them.

2. Convert Recent Customers into High-Value Customers

Recent Customers form a large group (**44,129 customers**) but have an average monetary value of only around **1.3K**. Cross-selling, personalized recommendations and follow-up offers can be used to increase their spending.

3. Re-engage Lost Customers

There are **44,055 Lost Customers**, almost as many as Recent Customers. Analyse their previous category purchases and create targeted reactivation campaigns rather than sending generic offers.

4. Prioritize High-Revenue Categories

Clothing generates approximately 114M, making it the strongest category. Ensure product availability and analyse which customer segments contribute most to its revenue before planning targeted promotions.

5. Investigate High-Performing Malls and Revenue Patterns

Kanyon and Mall of Istanbul generate around 50M each, while revenue is comparatively lower in several other malls. Comparing their category and segment patterns can help identify strategies that may be applicable elsewhere.